

Place an order to cover a short at J. After the double top FG confirms when price closes below H, price drops to K before beginning a pullback.

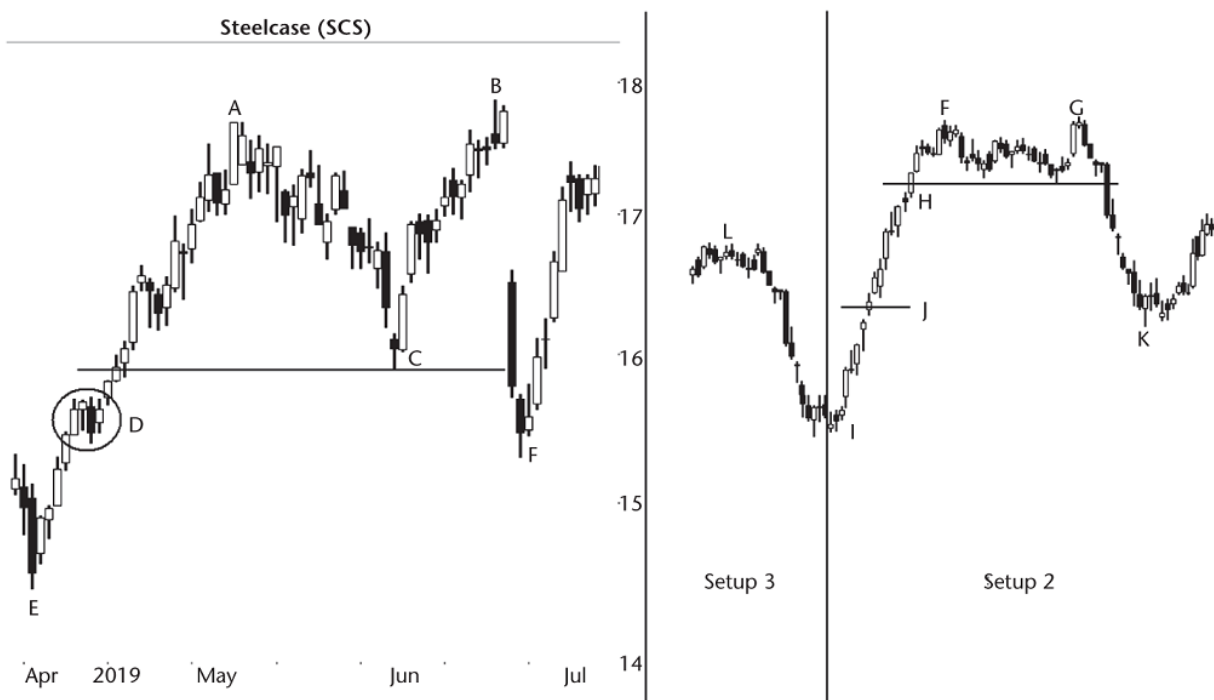


Figure 1.8 Shown are three ways to trade a pullback.

You don't see this setup often because there is usually a knot along the uphill run from I to H, but it does happen. Take advantage of it and expect the stock to find support midway in the I to H run like it does here at J.

If the run *does* show a knot but it looks too far below the chart pattern, then split the run in half like I've explained. In technical terms, if support is too far away, then price will reverse closer to the chart pattern. What is closer? Most pullbacks bottom in the 7% to 8% range. If a knot is 10% or 15% away, then that's too far unless there's a fundamental reason to drive price down hard and fast (bad earnings, bad future outlook, that kind of thing).

If the move from I to H is exceptionally long, you might want to split the run into thirds and place a trading order a third of the way down to I from H. Search for other stocks showing the same pattern and see where they turn. The Patternz simulator can make the search easy.